Reg. No									

St. Joseph's College of Arts & Science (Autonomous)

St. Joseph's College Road, Cuddalore – 607001

ECM514 – INCOME TAX LAW AND PRACTICE

Time : 3 hrs **Max Marks :75**

SECTION – A (10X2=20)

Answer **ALL** the Questions

1. Who is a person under income tax act?
2. What is an assessment year?
3. What is known as tax free salary?
4. State the meaning of annual value under income from house property
5. What is business under income tax act?
6. What is profession under sec. 2(36) of the income tax act?
7. What do you capital asset?
8. Give any two examples for income from other sources.
9. What is called a Gross Total Income?
10. Who is a dependent?

SECTION - B (5x5=25)

Answer ALL the questions

11. (a) Give few examples for exempted incomes.

(Or)

(b) Explain the term Ordinary Assessee.

12. (a) Calculate the taxable amount of annual accretion to R.P.F if following information is provided by assessee.
    (i) Pay @ Rs. 7,500 p.m
    (ii) Commission received by him on the basis of turnover achieved by him; Rs. 6,000
    (iii) Employer's contribution to R.P.F @ 14% of salary;
    (iv) Interest credited during the year to R.P.F Balance @ 12% is Rs. 24,000.

(Or)

(b) Mr. Ashok is the owner of a house which is let-out at a rent of Rs.500 p.m. The municipal taxes are equal to 10% of the rent received.

Compute the annual value of the house, if

(i) The municipal taxes are paid by Mr. Ashok, and
(ii) ½ of the municipal taxes are borne by the tenant.

13. (a) List out the incomes which are chargeable to income tax under the head "Profits and gains of business and profession".

(Or)

(b) Written Down Value (WDV) of block or P&M on 1-4-2015 was Rs. 5,95,000. During the year 2015-16 a new item costing Rs.1,50,000 was acquired in may, 2015 and an item was sold on 15-9-2015 for Rs. 79,000. Calculate the WDV of this block of assets and calculate the depreciation @ 15% in relation to assessment year 2016-17.

14. (a) Find out the inflated cost in following cases (separately for each case) for the assessment year 2016-17;

(i) Cost of plot acquired in 1986-87 for Rs. 80,000

(ii) Cost of house purchased in 1979-80 for Rs. 90,000

[C.I.I for 1981-82 = 100, for 1986-87=140, for 1988-89=161 and for 2015-16=1081]

(Or)

(b) Assessee A is the investor in shares and held 1,000 shares of Rs. 10 each in a company. On 31st March, 1992 he was allotted 1,000 bonus shares of the face value of Rs. 10 each. The cost of acquisition of original shares was Rs. 12 each. During the previous year ending 31t march, 2016 assessee sold 500 shares out of his bonus shares@ Rs. 14 per share. Compute the capital gain for the assessment year 2016-17 if cost inflation index for 1990-91 is 182 and 2015-16 is 1081.

15. (a) Mr. X is a Govt. employee and he, his father(who is not dependent on him) and his on are suffering from notified illness. He has incurred the following expenses on treatment;

	Rs.
On his own treatment	50,000
Amount reimbursed by employer	20,000
On treatment of his son	40,000
Insurance claim received	18,000
On treatment of his father	20,000
Insurance claim received	6,000

Calculate the amount of deduction u/s 80DDB.

(Or)

(b) What are the exceptions to set-off losses against any other income?

SECTION - C (3x10=30)

Answer any THREE questions

16. Mr. Raj is employed in ABC Ltd. Bangalore. He gets the following enrolments.

Basic salary Rs. 12,500 per month

DA (forming part) Rs. 6,000 per month

Bonus Rs. 5,000

Fees Rs. 1,000

2 % commission on turnover achieved (turnover achieved Rs.1,50,000)

HRA Rs. 7,250 per month (rent paid Rs. 6,400 per month)

EA Rs. 4,000 per month

Calculate gross salary.

17. Mr. Rajender Singh retired on 31-12-2015 and his pension was fixed at Rs. 3,600 p.m. He got ¾ th of the pension commuted for which he received Rs.1,80,000 from his employer, a Ltd Company. Find out the taxable amount of commuted value of pension if;

(i) he gets gratuity, and (b) he does not get gratuity.

18. From the following statement, compute the income from profession of Dr. S.K.Kapoor is accounts are maintained on cash/receipt system;

	Rs		Rs.
To Dispensary rent	36,000	By Visiting fees	45,000
To Electricity and water charges	6,000	By Consultation fees	1,25,000
To Telephone expenses	6,000	By Sales of medicines	72,000
To Salary to nurse and compounder	36,000 6,000	By Dividends	5,000
To Dep. On surgical equipment	36,000		
To purchase of medicines	4,000		
To Dep. On X-ray machine	5,500		
To Income Tax	4,000		
To Donation to Rama Krishna Mission	9,600		
To Motor car expenses	4,800		
To Dep. On car	93,100		
To Net Income			
	2,47,000		2,47,000

Notes: (i) Electricity and water charges include domestic bill of Rs. 2,500
(ii) Half of motor car expenses are for professional use.
(iii) Telephone expenses include 40% for personal use
(iv) Opening tock of medicines was Rs. 6,000 and closing stock was Rs. 4,000.

19. Mr. G. Bedi owns horse at Bombay and Bangalore. These horses run for races at the race course. During the year 2016-17 Mr. Bedi submit the following information;

(i)	Expenses on race horses at Bombay	Rs. 2,60,000
(ii)	Expenses on race horses at Bangalore	Rs. 4,30,000
(iii)	Stake money earned by horses at	
	(a) Bombay	Rs. 1,20,000
	(b) Bangalore	Rs. 5,00,000

(iv) Mr.Bedi received Rs.1,05,000 on 1-7-2016 on being during horse races at Bombay. Compute his taxable income under other sources.

20. Describe the qualifying amount for deduction u/s 80C while computing total income of individuals.

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